

So, instead of constantly changing funds every year, the goal should be to select a fund that demonstrates consistency and outperforms its chosen benchmark!

c. Avoid Overdiversification

When it comes to mutual funds, they are already pretty diversified on their own, giving us the benefit of diversification. But if you choose two funds from the same category, there is a high probability that the underlying holdings are likely to be the similar, because of the same eligibility criteria. So, you are not actually diversifying more.

Having a higher number of funds doesn't guarantee higher returns. In fact, it just adds to the time and effort needed to keep tabs on all those investments.

▲ **No. of Funds**

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▲ **Returns**



So, to maintain a balanced and manageable portfolio, it's advisable to limit the overall number of funds to around 4-5. This not only streamlines your investment strategy but also ensures a more focused approach to monitoring and managing your investments.